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# Investment Committee Memo: Northstar Growth Equity Fund IV

**Date:** 2025-12-31

**Fund:** Northstar Growth Equity Fund IV

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## 1. Top 3 Risks

### 1. Underperformance Relative to Target IRR

- **Evidence:** Net IRR of 16.8% is below the Target IRR of 18.0% (Flag: UNDER\_TARGET\_PERFORMANCE).
- **Risk:** The fund may not meet its stated underwriting targets, potentially impacting returns to investors.

### 2. Management Fee Structure Change

- **Evidence:** Revised management fee of 2.25% for new LP commitments in 2026 (Notes).
- **Risk:** The change in fee structure could impact the fund's economics and investor alignment.

### 3. Low Confidence in Management Fee Data

- **Evidence:** Management fee confidence score of 0.294, with evidence snippet not found verbatim on cited page (Notes).
- **Risk:** Inaccurate or unverified fee data could lead to misunderstandings or mispricing of the investment.

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## 2. Inconsistencies

### 1. Management Fee Discrepancy

- **Evidence:** Management fee stated as 2.00% on committed capital in the document, but notes mention a revised 2.25% fee for new commitments in 2026.
- **Inconsistency:** The fee structure appears to have changed, but the document does not explicitly reconcile the two figures.

### 2. Gross IRR Target Not Reflected in Metrics

- **Evidence:** Notes mention a target 20% gross IRR, but the document only provides Net IRR (16.8%) and Target IRR (18.0%).
- **Inconsistency:** The gross IRR target is not directly comparable to the provided metrics, creating ambiguity.

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## 3. Recommendation: INVESTIGATE

### Justification:

1. **Underperformance Flag:** The Net IRR of 16.8% falling below the Target IRR of 18.0% (Flag: UNDER\_TARGET\_PERFORMANCE) warrants further investigation into the drivers of the performance shortfall.
2. **Management Fee Inconsistency:** The low confidence score (0.294) and discrepancy between the stated 2.00% fee and the revised 2.25% fee require clarification to ensure accurate financial modeling.

3. **Missing Reconciliation:** The document does not reconcile the management fee change or explain the relationship between the gross IRR target and reported metrics, necessitating additional information.

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## 4. Questions to Ask

1. What specific factors are driving the 1.2% shortfall in Net IRR relative to the Target IRR?
2. Can the fund provide explicit evidence of the 2.00% management fee structure and clarify the impact of the revised 2.25% fee on existing and new investors?
3. How does the 20% gross IRR target align with the reported Net IRR and Target IRR, and what assumptions underpin this target?

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**Prepared for the Investment Committee**

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